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Pay.gov Overpayments mixed methods study

Research results - April 2026

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What we wanted to learn

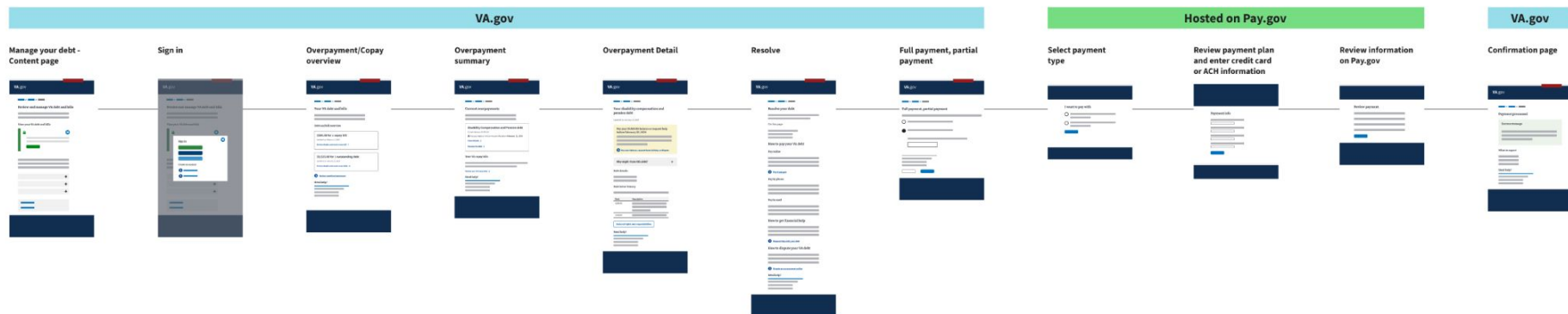
Research goals

Pay.gov Overpayment Study | 04/2026

1. Understand Veterans' needs, expectations, and preferences for making payments:

- financial management behaviors
- decision making around amounts and timelines
- interest and challenges in automatic/recurring payments

2. Test usability of Veteran's overpayment debt experience in end to end flow testing



Research hypotheses

Pay.gov Overpayment Study | 04/2026

1. Veterans will prefer the **more streamlined experience** of hosted collection pages, including pre-populated account details and staying within the same browser
2. Veterans will be able to **understand the difference between full and partial payment options** and make a selection; if they hesitate or are unsure, we will identify what decision support (content, examples, explanations of consequences, or links to payment plans/financial help) is needed
3. Veterans will **feel confident and secure that their payment has has been received** in the new experience
4. Veterans will **want more diverse payment methods** for submitting payments, including interest in recurring payments and autopay



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Research hypotheses results

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- Veterans will prefer the more streamlined experience of hosted collection pages, including pre-populated account details and staying within the same browser

Likely true

- Veterans will be able to understand the difference between full and partial payment options and make a selection; if they hesitate or are unsure, we will identify what decision support (content, examples, explanations of consequences, or links to payment plans/financial help) is needed

Definitely true

- Veterans will feel confident and secure that their payment has been received in the new experience

Likely true

- Veterans will want more diverse payment methods for submitting payments, including interest in recurring payments and autopay

Definitely true



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Who we talked to

Participant demographics

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Findings may not include the perspectives of the following underserved Veteran groups:

- Veterans who use assistive technology
- Hispanic, Latino, or Spanish origin Veterans
- Native Hawaiian or other Pacific Islander Veterans
- First Nations Veterans
- Other than honorable
- Immigrant origin

We recommend studies with these underserved groups in the future.

[Participant Tracker on Google Sheets](#)

Demographic	Target %	Target #	# in Study	Achieved?
All participants	n/a	n/a	11	n/a
Assistive Tech (AT) users	n/a	n/a	0	n/a
No-show participants	n/a	n/a	6	n/a
Age 55-64+	50%	6	3	no
Cognitive Disability	50%	6	3	no
Mobile user	50%	6	3	no
Rural	25%	3	4	yes
No degree	25%	3	3	yes
Other than honorable	21%	3	0	no
Immigrant origin	17%	2	0	no
Women	10%	2	3	yes
Expat (living abroad)	0.40%	1	0	no
Black or African American	15%	2	5	yes
Hispanic, Latino, or Spanish origin	12%	2	0	no
Biracial	3.90%	1	2	yes
Asian	2.70%	1	2	yes
Native Hawaiian or other Pacific Islander	0.30%	1	0	no
First Nations (Canada)	n/a	1	0	no
Native, American Indian or Alaska Native	1.60%	1	1	yes
LGBTQ+	1	1	2	yes
Beginner AT User	50%	0	0	no
Experienced AT User	50%	0	0	no
Desktop Screen Reader (SR)	20%	0	0	no
Mobile Screen Reader (SR)	20%	0	0	no
Magnification/Zoom	20%	0	0	no
Speech Input Tech (Siri, Dragon)	20%	0	0	no
Hearing Aids	20%	0	0	no
Sighted Keyboard	10%	0	0	no
Captions	n/a	1	0	no

Study Methods & participant details

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Study method:

1-on-1 in depth interviews:

- Semi structured open ended questions
- Task based usability testing

Location:

Remote via Zoom

Duration:

60-75 minutes

Annual household income:

Less than \$50K: **4**

\$50K or more: **7**

Experience with financial hardship:

Currently experiencing financial hardship: **6**

Experienced financial hardship *in the past*: **3**

Not currently experiencing financial hardship: **3**

Payment plan:

Currently on a VA payment plan: **9**

Not on a VA payment plan: **2**

Overpayment type:

Disability compensation and pension: **7**

Post-9/11 GI Bill: **3**

Chapter 35 education: **1**

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What we learned

Finding 1

Most participants feel confused and upset by initial overpayment notifications

- Many don't understand why they have a debt or how to fix processing errors
- When they reach out for more information, they feel frustrated by VA departments that don't communicate with each other
- Some avoid calling due to past experiences with long wait times

“...There's two different parts of the VA, not really working together, and it's just crazy.”

-P4

Note: this insight and others corroborates the VEO team's findings from their [foundational research](#) on the holistic debt experience; it offers many actionable opportunities and is well worth a read

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Finding 2

Most participants pay with a payment plan that automatically deducts from monthly VA benefits

- Many participants made this decision by doing nothing—debt letters inform them of the upcoming change
- Some participants called VA representatives to set up the payment plan and negotiate the monthly debit amount
- Only 1 of 11 participants paid their overpayment online

“They’re making us take money out of our paycheck”

-P17

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Finding 3

Most participants get a birds eye view of their finances with spreadsheets and by closely monitoring accounts

- Most keep a spreadsheet to track expenses and funds in a single location
- Most check bank accounts regularly to check for errors or fraud on individual transactions
- Many rely on manual calendar reminders to pay bills that fluctuate or don't align with their pay schedule

“I have an old school Excel sheet budget and stuff, I haven’t quite found an app that does things super well”

-P11



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Finding 4

Most participants use autopay, payment plans, and credit cards strategically to reduce costs and effort

- Most automate fixed essential bills timed to their paydays so they don't have to think about it
- Many use payment plans for large purchases, choosing timelines that minimize interest
- Some use high-yield savings accounts to accrue interest for short periods before transferring funds to pay bills; they use credit cards strategically to earn rewards and cashback

“Auto insurance is not gonna change, my home insurance is not going to change, so that's kind of instantly [on auto-pay]..But I want to do those certain bills [manually] where it could be up and down [like] my electricity bill.” -P7

Finding 5

Most participants felt confident navigating and did not mind the VA.gov to Pay.gov transition

- 10 of 11 participants rated confidence 10/10, describing the experience as "straightforward," "seamless," and "user-friendly"
- VA branding and familiarity with government payment systems put participants at ease

"The transition between the VA and Pay.gov—I like that it appeared to be seamless." -P4



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Finding 6

Critical information gaps about payment options undermined their confidence

- Partial payment and payment plan options appear too late in the flow or not at all
- Many participants don't understand what actions trigger debt collections and what actions they could take to prevent collections other than paying the full amount

Overpayment balances

Check the details of benefit overpayments you might have from VA education, disability compensation, or pension programs. Find out how to resolve overpayments and what to do if you need financial assistance.

Please note that payments may take up to 4 business days to reflect after processing.

Post-9/11 GI Bill overpayment for housing

Current balance: **\$830.00**



Pay your balance of **\$830.00** or request help by **April 1, 2026** to avoid collection actions.

[Review details](#) >

[Resolve this overpayment](#) >

“

I bet lots of people wouldn't want to click this, because they're like, 'I don't have \$830, so what's the point?'... At no point did it say to start paying off your balance, it just said, pay your balance. Pay this debt, or you're in trouble.

— P16

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Finding 7

Missing context and payment history created doubt

- Many participants want more detail about individual overpayments and where they are in VA's debt resolution process
- Many participants expected to see payment history, original amount, and remaining balance
- Some participants appreciate letter history but expected to view full letters

Pay your balance now to avoid collection

Your balance of **\$830.00** is due. Pay the full balance or request help by **April 1, 2026** to avoid collection actions.

 [Pay, request help, or dispute this overpayment](#)

Overpayment details

Current balance: **\$830.00**

Original overpayment: **\$1,000.00**

You may need to provide the following details to resolve this debt:

File number: **796123018**

Payee number: **00**

Person entitled: **HSMITH**

Deduction code: **72 - Education CH 33 Housing**

[Review what these terms mean](#)



Overpayment letter history

Find dates and summaries for the letters sent to your address on file below.

Date	Description
March 1, 2026	Second demand letter A letter was sent to inform you that failure to pay or contact the DMC within 60 days would result in the debt being reported to Credit Reporting Agencies.
February 1, 2026	First demand letter We sent this letter to notify you of your debt and provide information on how to resolve it.

[Why might I have this overpayment balance?](#)



[Notice of rights and responsibilities](#)

“

...It's one payment, but then it goes into a black hole and then you never really see, to trust that the payment that I made, is actually being applied...

— P2

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What's next?

Recommendations

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1. **Provide transparency** on overpayment process, including **guidance on how to avoid negative actions** and what those negative actions are
2. Prioritize developing an **self-service payment plan** with flexible payment amount, frequency, and lump sum options
3. **Create clear content** describing monthly amount, original debt, start date, amount paid, and projected end date for debts that are auto-deducted from monthly benefits
4. **Display payment history and a running balance for all debts** so Veterans can verify their payments are being applied
5. Work with DMC and VBA to **improve overpayment notification letters so that they are more connected and trauma informed**
6. Provide the **specific reason the overpayment exists**, rather than a generic list of causes
7. **Explain why overpayment details** (file number, deduction code, etc) **are shown** and when Veterans need them
8. **Allow Veterans to view and download their overpayment letters**

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Next steps

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Immediate Goals

1. Work with the PO and DMC to fully map the overpayment and collections process.
2. Collaborate with the Content Team on plain-language guidance for resolution options.
3. Implement a short-term link to **pay.va.gov** for immediate payment plan setup.

Long-Term Goals

1. Build a full self-service payment plan and setup an editing tool within the debt portal.
2. Explore surfacing the specific overpayment reason and timeline on the debt details page.
3. Restore payment history and overpayment letter PDFs (dependent on external teams).
4. Conduct competitive analysis of Veterans' preferred financial services to inform future design.



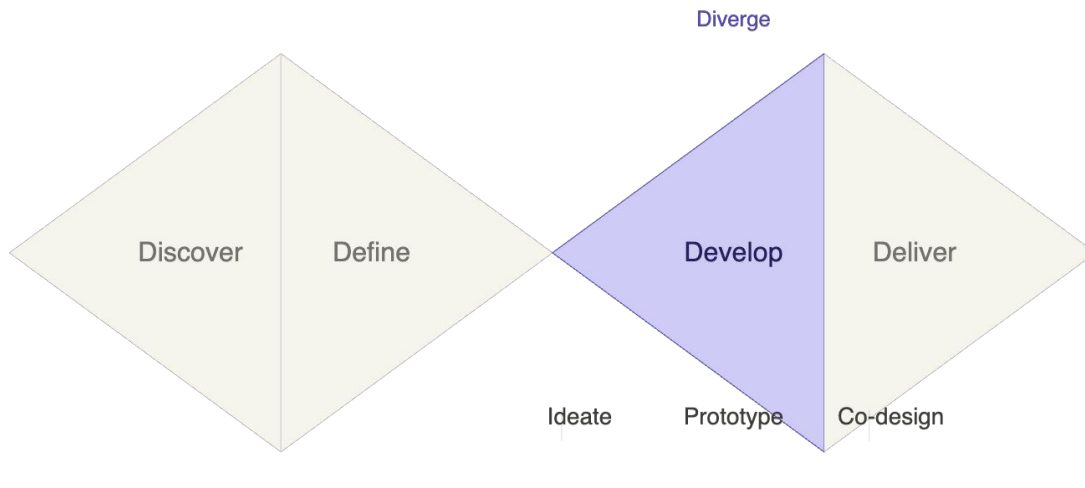
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One more thing

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Preliminary designs based off of findings

- Currently in the **diverge state** of the develop phase, exploring many different options.
- Later, we will **converge and refine it**.
- Designs still need to be approved by stakeholders and go through the design process.



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One more thing

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Key Design Updates (Based on Veteran feedback and review of old work):

- Updated summary card to address key findings, providing more clarity and surfacing information sooner.
- Adjusted the detail page to show a clearer history of the overpayment and why it occurred.
- Language has been tweaked to be more trauma informed.

Post-9/11 GI Bill overpayment for housing

Original overpayment amount **\$1,000.00**

Current balance **\$830.00**



⚠ Pay **\$830.00** or request help by **April 1, 2026** to avoid collection actions.
You can also pay a partial amount or set up a payment plan.

What are collection actions? [▼](#)

[➤ Review details](#) [➤ Resolve this overpayment](#)

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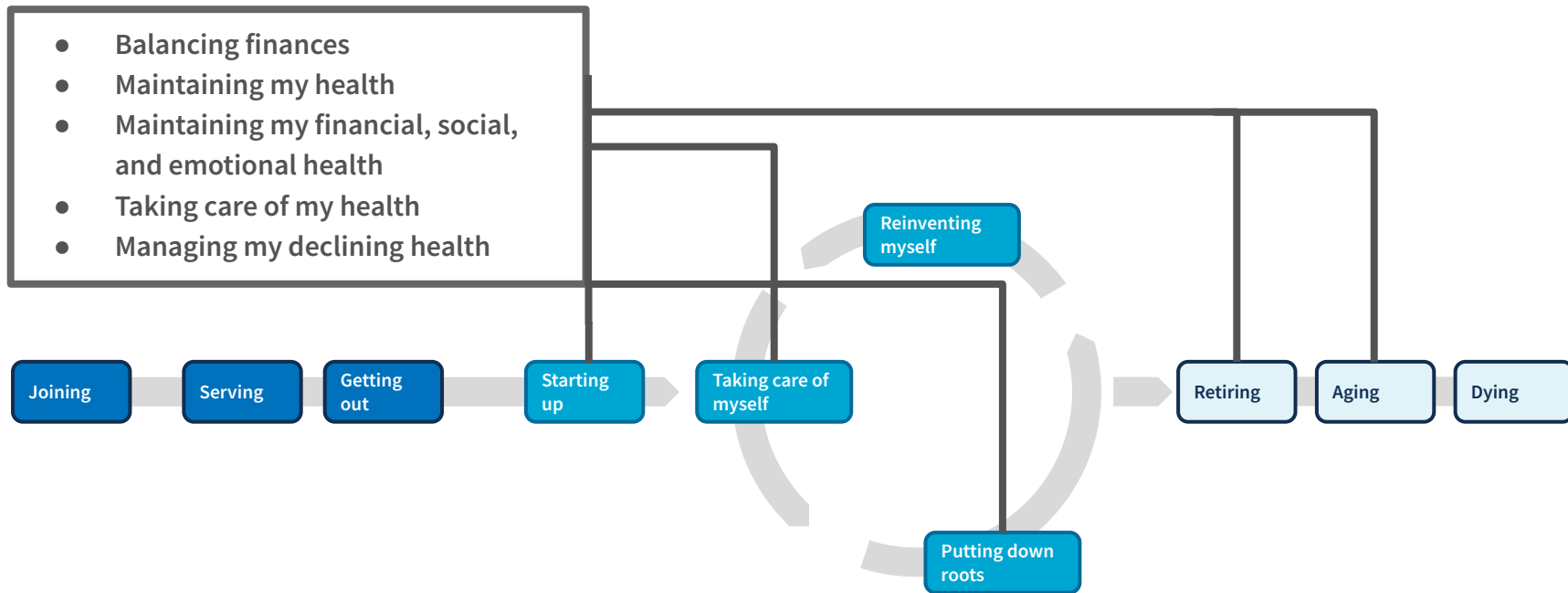


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Any questions?

How this research maps to the Veteran journey

[Pay.gov](https://www.pay.gov) Overpayments mixed methods study



For a fully detailed Veteran journey, go to

<https://github.com/departement-of-veterans-affairs/va.gov-team/blob/master/platform/design/va-product-journey-maps/Veteran%20Journey%20Map.pdf>

Serving and separation

Living civilian life

Retiring and aging

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FY 26 OCTO goals supported

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Goals supported by this research:

1.1 - All C100 products have a documented Product Vision, including identifying up to three Veteran impacting KPIs, published on [Product.Va.gov](#)

1.2 - Delivered 25 or more releases that have measurably improved a product's Veteran-impacting KPIs

1.3 - OIT has avoided at least \$5 million in cost via successful decommissioning of at least 10 systems.

3.1 - Each OIT portfolio will improve customer satisfaction (or similar measure of user experience quality) of impactful systems by 3% or more.

3.2 - 100% of end-user facing C100 systems maintain a ranked list of user pain points.

3.3 - 100% of C-100 systems have delivered at least one release that directly addresses a documented user pain point with that system.

Goals not supported by this research:

2.3 - Supports reducing this product's cycle time from planning to production by more than 50% without increasing change failure rate.

2.4: By 31 March 2026, DSD has enhanced system security by moving or decommissioning 100% of existing of Systems or Applications leveraging SiteMinder integration for SSOi to Entra ID.

4.1 - More than 25% of VA employees report AI has helped them deliver better services to Veterans.

4.2 - All "VA Way" delivery attributes have an adoption indicator established, baselined and communicated to product delivery staff.

4.3 - 50% of product delivery staff report that a practice group (design) has helped them deliver better software.

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Most applicable law

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Which law supports this work the most?

PACT ACT (2022)

How is this work related to the law?

The [Pay.gov](#) Overpayments Hosted Collection Page feature aims to provide an easier, more seamless payment experience for Veterans by reducing cognitive load and drop off. It presents the [VA.gov](#) to [Pay.gov](#) journey as a continuous flow and prepopulates a user's account information, removing the need for Veterans to manually enter debt information

What part of the law relates to this work?

As a congressional mandate under the PACT Act, VA must address the following:

- Mandates IT modernization to handle increased health care and benefits demand